**2:00 PM**
**LINE: 6**
**25-CIV-02233 JUAN ALONSO VS. GENERAL MOTORS, LLC.**

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| **JUAN ALONSO** | **TIONNA CARVALHO** |
| **GENERAL MOTORS, LLC.** | **KRISTEN ALLISON** |

**DEFENDANT GENERAL MOTORS, LLC'S DEMURRER TO PLAINTIFF'S FIRST AMENDED COMPLAINT**

**TENTATIVE RULING:**

This is a lemon-law action. Defendant General Motors, LLC ("Defendant" or "GM") demurs to each of the five causes of action in Plaintiff's First Amended Complaint ("FAC"): (1) breach of warranty under Civil Code section 1793.2, subdivision (d); (2) breach of warranty under section 1793.2, subdivision (b); (3) breach of warranty under section 1793.2, subdivision (a)(3); (4) breach of the implied warranty of merchantability under sections 1791.1, 1794, and 1795.5; and (5) fraudulent inducement by concealment.

Defendant's demurrer is **SUSTAINED WITH LEAVE TO AMEND as to the Fourth Cause of Action and otherwise OVERRULED**.

***<u>PRELIMINARY MATTER</u>***

Plaintiff filed an opposition on June 5, 2026. On June 8, 2026, the Court continued the hearing on the demurrer to August 13, 2026. Defendant filed its reply on June 10, 2026. On July 30, 2026, Plaintiff filed a second opposition that largely, but not entirely, duplicates the first opposition. The second opposition is not identified as an amended or supplemental opposition, and Plaintiff did not obtain leave of Court to file additional briefing. The Court therefore exercises its discretion to disregard the July 30, 2026 opposition.

***<u>BACKGROUND</u>***

On or about May 22, 2017, Plaintiff entered into a warranty contract with Defendant concerning a 2017 Chevrolet Colorado manufactured and/or distributed by Defendant. (FAC, ¶ 6.) Plaintiff alleges that he purchased the vehicle from Defendant's authorized retail dealership, Boardwalk Chevrolet. (Id., ¶ 8.)

Plaintiff alleges that defects and nonconformities manifested during the warranty period, including activation of the check-engine light, faulty valves, a faulty engine-cooling thermostat, a malfunctioning door, an unresponsive infotainment display, noises from the vehicle, malfunctioning seatbelts and windshield wipers, transmission and electrical defects, and one or more engine defects capable of causing loss of power, stalling, rough operation, and misfires. Plaintiff alleges that these conditions substantially impaired the vehicle's use, value, or safety. (FAC, ¶¶ 10–16, 22–23, 75.) Plaintiff further alleges that Defendant failed to conform the vehicle to the applicable express warranty and failed to promptly offer replacement or restitution as required by the Song-Beverly Consumer Warranty Act. (Id., ¶ 25.)

Plaintiff also alleges that Defendant knew of the engine defects through preproduction and postproduction testing, consumer complaints made to Defendant and its dealer network, dealership repair orders, testing conducted in response to complaints, and other internal sources of information exclusively within Defendant's possession, but deliberately concealed and failed to disclose those defects to Plaintiff. (See, e.g., FAC, ¶¶ 79, 81, 85, 89–90, 92, 94.)

***LEGAL STANDARD***

A demurrer tests the legal sufficiency of the pleading. The Court treats properly pleaded material factual allegations as true and also considers matters properly subject to judicial notice. It does not assume the truth of contentions, deductions, or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The pleading is construed liberally with a view toward substantial justice between the parties. (Code Civ. Proc., § 452.)

A statute-of-limitations defense may be raised by demurrer only where the bar clearly and affirmatively appears on the face of the pleading and matters properly subject to judicial notice. It is insufficient that the action merely might be barred. (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42.)

Fraud ordinarily must be pleaded with specificity. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.) That requirement is applied less rigidly to fraudulent concealment because a plaintiff cannot allege precisely when, where, and how a disclosure that never occurred should have been made, particularly where the relevant facts lie principally within the defendant's knowledge. (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384; *Tarmann v. State Farm Mutual Automobile Ins. Co.* (1991) 2 Cal.App.4th 153, 158.)

***FIRST AND SECOND CAUSES OF ACTION — SONG-BEVERLY EXPRESS-WARRANTY CLAIMS***

The demurrer to the First and Second Causes of Action based on Code of Civil Procedure section 871.21 is **OVERRULED**.

Code of Civil Procedure section 871.21 became effective January 1, 2025. For actions governed by section 871.20, it requires commencement within one year after expiration of the applicable express warranty and, in all events, no later than six years after the vehicle's original delivery, subject to the statutory tolling provisions. (Code Civ. Proc., § 871.21, subds. (a)–(c).)

Section 871.20 applies to specified actions against a manufacturer that has elected to proceed under the new statutory framework, including actions seeking restitution or replacement under Civil Code section 1793.2, subdivisions (b) or (d), based on noncompliance with an applicable express warranty. (Code Civ. Proc., § 871.20, subd. (a).) GM has made the statutory election. Section 871.30 further provides that an electing manufacturer may elect to be governed by the chapter with respect to vehicles sold in 2025 and "in all prior years." (Code Civ. Proc., § 871.30, subd. (a).)

Accordingly, the Court does not adopt Plaintiff's argument that the statutory scheme contains no indication that it applies to vehicles sold before January 1, 2025. Section 871.30, enacted effective April 2, 2025, now expressly addresses prior-year vehicles.

That conclusion, however, does not resolve the separate question whether section 871.21 may constitutionally be applied so as immediately to extinguish an accrued claim that remained timely under the law governing before the new limitations period became effective.

California law recognizes that the Legislature may shorten a limitations period, but a newly shortened period may not constitutionally be applied to extinguish an existing, accrued cause of action without affording the claimant a reasonable opportunity to pursue the claim. (*Niagara Fire Ins. Co. v. Cole* (1965) 235 Cal.App.2d 40, 42–44; see also *Rosefield Packing Co. v. Superior Court* (1935) 4 Cal.2d 120, 122–123.)

In *Niagara*, the Court of Appeal explained that when a newly enacted limitations period would otherwise immediately extinguish an accrued claim, the claimant must be afforded a reasonable period after the new enactment within which to proceed. (*Niagara, supra,* 235 Cal.App.2d at pp. 42–44.)

Here, Plaintiff purchased the vehicle on May 22, 2017, and filed this action on March 27, 2025, less than three months after section 871.21 became effective and before the April 2, 2025 enactment of section 871.30 establishing the present opt-in framework for prior-year vehicles. Defendant seeks to apply the new statute to extinguish claims that Plaintiff alleges accrued and remained actionable under the law existing before January 1, 2025.

On the present pleading, and in the absence of controlling California appellate authority holding that section 871.21 operates to extinguish an accrued and previously viable claim without a reasonable post-enactment opportunity to file suit, the Court declines to sustain the demurrer on that basis. Plaintiff filed approximately 85 days after section 871.21 became effective. Under the principles articulated in *Niagara*, the Court cannot conclude as a matter of law on demurrer that Plaintiff failed to act within a constitutionally reasonable period.

Accordingly, Defendant's demurrer to the First and Second Causes of Action on statute-of-limitations grounds is **OVERRULED**.

***THIRD CAUSE OF ACTION — CIVIL CODE SECTION 1793.2(a)(3)***

The demurrer to the Third Cause of Action is **OVERRULED**.

Plaintiff's Third Cause of Action alleges a violation of Civil Code section 1793.2, subdivision (a)(3), which requires a manufacturer that provides an express warranty to make sufficient service literature and replacement parts available to authorized service and repair facilities to effect repairs during the express warranty period.

Defendant relies on Code of Civil Procedure section 871.21. That statute, however, applies only to an "action covered by Section 871.20." (Code Civ. Proc., § 871.21, subds. (a)–(b).) Section 871.20, subdivision (a), identifies actions seeking restitution or replacement under Civil Code section 1793.2, subdivisions (b) or (d), section 1793.22, or section 1794, or specified civil penalties based upon noncompliance with an express warranty. It does not identify a separately pleaded claim under Civil Code section 1793.2, subdivision (a)(3), seeking relief other than restitution or replacement.

Accordingly, Defendant has not established that Code of Civil Procedure section 871.21 bars the Third Cause of Action.

The demurrer to the Third Cause of Action is therefore **OVERRULED**.

***<u>FOURTH CAUSE OF ACTION — BREACH OF IMPLIED WARRANTY OF MERCHANTABILITY</u>***

The demurrer to the Fourth Cause of Action is **SUSTAINED WITH LEAVE TO AMEND**.

Claims for breach of the implied warranty of merchantability under the Song-Beverly Act are generally governed by the four-year limitations period in Commercial Code section 2725. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1305–1306.)

Commercial Code section 2725 provides that a cause of action for breach of warranty ordinarily accrues when tender of delivery is made, regardless of the buyer's lack of knowledge of the breach. (Com. Code, § 2725, subds. (1)–(2).)

*Mexia* does not hold otherwise. It holds that the implied warranty of merchantability can be breached by a latent defect that is undiscoverable at the time of sale. But the breach consists of the existence of the latent defect, not its subsequent discovery. (*Mexia, supra,* 174 Cal.App.4th at pp. 1304–1306.) The court expressly recognized that, under Commercial Code section 2725, the limitations period generally begins upon tender of delivery. (*Id.* at pp. 1305–1306.)

Nor does *Aced v. Hobbs-Sesack Plumbing Co.* (1961) 55 Cal.2d 573 support an indefinite delayed accrual rule under the current Song-Beverly statutory scheme. *Mexia* explains that the statutory duration provision subsequently enacted as Civil Code section 1791.1, subdivision (c), superseded *Aced* to the extent *Aced* recognized a "reasonable," but indeterminate, prospective duration for an implied warranty. (*Mexia, supra,* 174 Cal.App.4th at pp. 1309 & fn. 10.)

Here, Plaintiff alleges that he purchased and took delivery of the vehicle on or about May 22, 2017. The four-year period under Commercial Code section 2725 therefore expired, absent applicable tolling or estoppel, in May 2021. This action was not filed until March 27, 2025.

Commercial Code section 2725, subdivision (4), preserves otherwise applicable principles of tolling, and California law recognizes that tolling or equitable estoppel may, where adequately pleaded and established, affect an otherwise untimely warranty claim. But a plaintiff relying on fraudulent concealment, equitable tolling, or estoppel to avoid a limitations bar apparent from the face of the pleading must specifically allege facts supporting that theory. (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 641.)

Although the FAC contains allegations that Defendant concealed its knowledge of the alleged defects, the allegations identified in the present briefing do not sufficiently plead a tolling or estoppel theory explaining why the limitations period applicable to the implied-warranty claim remained tolled for the period necessary to make this March 2025 filing timely.

Accordingly, Defendant's demurrer to the Fourth Cause of Action is **SUSTAINED WITH LEAVE TO AMEND** so that Plaintiff may allege, if he can do so in good faith, facts establishing a legally sufficient basis for tolling or estoppel.

***FIFTH CAUSE OF ACTION — FRAUDULENT INDUCEMENT BY CONCEALMENT***

Defendant argues that the fraudulent-inducement claim is (1) barred by the statute of limitations, (2) barred by the economic-loss rule, and (3) inadequately pleaded. The Court rejects each contention.

***Statute of Limitations***

The demurrer based on the statute of limitations is **OVERRULED**.

An action for fraud is subject to a three-year limitations period, but the cause of action "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud." (Code Civ. Proc., § 338, subd. (d).)

Defendant contends that because the FAC alleges defects and nonconformities manifested during the express-warranty period, Plaintiff necessarily discovered or should have discovered Defendant's alleged fraudulent concealment more than three years before this action was filed.

The Court disagrees. Knowledge that a vehicle is experiencing mechanical problems is not necessarily equivalent to knowledge that the manufacturer allegedly possessed material pre-sale information concerning a defect and deliberately concealed that information from the purchaser. The FAC alleges that Defendant possessed information concerning the alleged defect from internal testing, consumer complaints, dealership repair information, and other sources not available to Plaintiff, and that Defendant deliberately concealed that information. (See, e.g., FAC, ¶¶ 79, 81, 85, 89–90, 92, 94.)

The FAC does not affirmatively establish on its face that Plaintiff discovered, or reasonably should have discovered, the facts constituting the alleged fraudulent concealment more than three years before the action was filed. The precise point at which Plaintiff had actual or inquiry notice of Defendant's alleged pre-sale knowledge and concealment presents a factual question that cannot be resolved against Plaintiff on this demurrer.

Accordingly, the demurrer to the Fifth Cause of Action based on the statute of limitations is **OVERRULED**.

***Economic-Loss Rule***

The fraudulent-inducement claim is not barred by the economic-loss rule.

In *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 840–843, the Court of Appeal held that the economic-loss rule does not bar a claim for fraudulent inducement by concealment where the alleged fraud induced the plaintiff to enter the transaction and was independent of the manufacturer's subsequent breach of its warranty obligations.

*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1 does not compel a different result. *Rattagan* concerned alleged fraudulent concealment during performance of an existing contractual relationship. The Supreme Court expressly noted the pending *Dhital* and *Kia* matters involving fraudulent inducement by concealment and stated: "We do not address these issues here." (*Rattagan, supra,* at p. 41, fn. 12.)

Here, Plaintiff alleges pre-contractual concealment—that Defendant knew before Plaintiff's purchase that the vehicle contained material engine defects, concealed that information, and thereby induced Plaintiff to purchase the vehicle. Those allegations fall within the fraudulent-inducement theory addressed in *Dhital* rather than the fraudulent-performance theory addressed in *Rattagan*.

Accordingly, the economic-loss rule does not bar the Fifth Cause of Action at the pleading stage.

***Sufficiency of the Fraud Allegations***

The FAC sufficiently pleads fraudulent inducement by concealment.

The elements of fraudulent concealment are: (1) concealment or suppression of a material fact; (2) a duty to disclose that fact; (3) an intent to defraud by intentionally concealing or suppressing the fact; (4) the plaintiff's lack of knowledge of the fact and resulting action or inaction that would have differed had the fact been disclosed; and (5) resulting damage. (*Hambrick v. Healthcare Partners Medical Group, Inc.* (2015) 238 Cal.App.4th 124, 162.)

Although fraud must ordinarily be pleaded with specificity, less specificity is required in a concealment claim where the relevant facts necessarily lie within the defendant's knowledge. (*Alfaro, supra,* 171 Cal.App.4th at p. 1384.)

*Dhital* is particularly instructive. There, the plaintiffs alleged that Nissan knew of defects in the vehicle's transmission, possessed exclusive knowledge concerning those defects, intentionally concealed them, intended to induce the plaintiffs' purchase, and that plaintiffs would not have purchased the vehicle had the defects been disclosed. The Court of Appeal held those allegations sufficient at the pleading stage. (*Dhital, supra,* 84 Cal.App.5th at pp. 843–844.)

The allegations here are materially similar. Plaintiff alleges that Defendant had exclusive knowledge of material engine defects through preproduction and postproduction testing, consumer complaints, dealership repair information, and other internal sources; deliberately concealed the defects; intended consumers such as Plaintiff to rely on the absence of disclosure; and that Plaintiff would not have purchased the vehicle had the alleged defects been disclosed. (See, e.g., FAC, ¶¶ 79, 81–83, 88–90, 94, 97, 99, 102.)

Defendant also argues that it had no duty to disclose because Plaintiff purchased the vehicle from a dealership rather than directly from GM. *Dhital* rejected a materially similar argument at the pleading stage where the plaintiffs alleged that they purchased the vehicle from an authorized Nissan dealership, Nissan backed the vehicle with an express warranty, and the dealership acted as Nissan's authorized intermediary in the sale. (*Dhital, supra,* 84 Cal.App.5th at pp. 843–844.)

Here, Plaintiff alleges that he purchased the vehicle from Defendant's authorized retail dealership and that Defendant provided the applicable manufacturer's warranty. (FAC, ¶¶ 6, 8.) Construing the pleading liberally, those allegations are sufficient at the demurrer stage to allege the transactional relationship necessary for the asserted duty to disclose.

Accordingly, the demurrer to the Fifth Cause of Action for fraudulent inducement by concealment is **OVERRULED**.

***<u>DISPOSITION</u>***

Defendant General Motors, LLC's Demurrer to Plaintiff's First Amended Complaint is ruled upon as follows:

1. The demurrer to the **First Cause of Action** for breach of warranty under Civil Code section 1793.2, subdivision (d), is **OVERRULED**.
2. The demurrer to the **Second Cause of Action** for breach of warranty under Civil Code section 1793.2, subdivision (b), is **OVERRULED**.
3. The demurrer to the **Third Cause of Action** for breach of warranty under Civil Code section 1793.2, subdivision (a)(3), is **OVERRULED**.
4. The demurrer to the **Fourth Cause of Action** for breach of the implied warranty of merchantability is **SUSTAINED WITH LEAVE TO AMEND**.
5. The demurrer to the **Fifth Cause of Action** for fraudulent inducement by concealment is **OVERRULED**.

Plaintiff may file and serve a Second Amended Complaint within 10 days after notice of entry of the order.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Defendant shall prepare and submit a proposed written order consistent with this ruling pursuant to California Rules of Court, rule 3.1312, and shall provide notice of the ruling as required by law.

**2:00 PM**
**LINE: 7**

**25-CIV-09703 MICHAEL KARPOVICH TEMPLETON VS. TOWN OF ATHERTON, ET AL**

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| **MICHAEL KARPOVICH TEMPLETON** | **PRO SE** |
| **TOWN OF ATHERTON** | **MONA G EBRAHIMI** |

**RESPONDENTS TOWN OF ATHERTON, ELIZABETH LEWIS AND MONA G. EBRAHIMI'S AND REAL PARTY IN INTEREST FAB HOMES 94 PALMERLLC'S JOINT NOTICE OF DEMURRER AND DEMURRER TO PETITION FOR WRIT OF ADMINISTRATIVE MANDAMUS**

**TENTATIVE RULING:**

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For the reasons stated below, Respondents Town of Atherton, Elizabeth Lewis, and Mona G. Ebrahimi, and Real Party in Interest Ninety Four Palmer, LLC's Joint Demurrer to Petitioner Michael Karpovich Templeton's Second Amended Petition for Writ of Administrative Mandamus is **SUSTAINED WITH LEAVE TO AMEND**.

***PRELIMINARY MATTERS***

As a preliminary matter, the demurrer is unopposed. Petitioner filed a request to continue the hearing after the deadline for filing opposition had expired. (See Code Civ. Proc., § 1005, subd. (b) [opposition papers must be filed and served at least nine court days before the hearing].) No proof of service of the continuance request was filed. Moreover, the request is styled as a noticed motion but was noticed for a date and time at which the Court does not hear motions.

A court "lacks jurisdiction to rule on a motion that has not been properly noticed for hearing on the date in question." (*Diaz v. Professional Community Management, Inc.* (2017) 16 Cal.App.5th 1190, 1204–1205.) Accordingly, Petitioner's request for a continuance is **DENIED**.

As an additional preliminary matter, Respondents' electronically filed exhibits have not been electronically bookmarked as required by California Rules of Court, rule 3.1110(f)(4). The Court has nonetheless considered the materials for purposes of this demurrer. Counsel are advised that future noncompliance with the California Rules of Court may subject the responsible party or counsel to sanctions. (See Cal. Rules of Court, rule 2.30.)

***BACKGROUND***

The Second Amended Petition for Writ of Administrative Mandamus ("SAP") seeks a writ setting aside the Town Council's decision denying Petitioner's appeal and thereby leaving in place the Atherton Planning Commission's written decision granting certain variances and exceptions for a proposed development at 94